NATIONAL COMPANY LAW TRIBUNAL

GUWAHATI BENCH

GUWAHATI

C.A. (CAA) No. 02/GB/2021

Coram: Hon'ble Shri H. V Subba Rao, Member (J)

Hon'ble Shri Prasanta Kumar Mohanty, Member (T)

ATTENDANCE-CUM-ORDER SHEET OF THR HEARING OF THE NATIONAL COMPANY TRIBUNAL, GUWAHATI BENCH ON 23rd March, 2021.

Name of the Company PURVOTTAR FINANCIAL SERVICES PRIVATE LIMITED (PFSPL)

TRANSFEREE COMPANY

WITH

SADHANA TRADERS PRIVATE LIMITED (STPL) &

VALUE-ADDED AGENCY PRIVATE LIMITED (VAAPL) &

VARAA FASHIONS PRIVATE LIMITED (VFPL)

TRANSFEROR COMPANIES

Section **Section 230-232 of Companies Act**

Sl.No.	NAME (CAPITAL LETTERS)	DESIGNATION	REPRESENTATION	SIGNATURE
1.	MR. BIKASH SHARMA	Advocate	Petitioner	Present in
2.				Video Conference

ORDER

The Applicant is represented through respective learned counsel(s).

The case is fixed for pronouncement of order.

The order is pronounced in the open court, vide separate sheet.

Sd/-

(Prasanta Kumar Mohanty)

Member (Technical)

Sd/-

(H.V Subba Rao)

Member (Judicial)

Dated this the 23rd March, 2021

ORDER

[Per se: Prasanta Kumar Mohanty, Member (T)]

1. The Applicant Companies submitted that the Board of Directors of the Transferee Company and the Transferor Companies, have at their respective meetings, by resolutions passed unanimously, approved the said Scheme of Arrangement. Copies of the said board resolutions of the Transferee Company and the Transferor Companies are annexed hereto and collectively marked from **Page no. 307 to 315.**

2. The Applicants in the present Company Application have narrated about the rational of the proposed company scheme, which are being reproduced below:

RATIONAL OF THE SCHEME:

a) **The proposed merger will enable all the companies to consolidate their business operations and provide significant impetus to their growth.**

b) **The merger will result in enhancing the scale of operations and reduction in overheads, administrative, managerial and other expenditure, operational rationalization, organizational efficiency, and optimal utilization of various resources.**

c) **The merger will result in improved shareholder value for all the companies by way of improved financial structure and cash flows, increased asset base and stronger consolidated revenue and profitability.**

d) **The merger will result in enhanced leveraging capability of the combined entity which in turn will allow the combined entity to undertake future expansion strategies and to tap bigger opportunities in the industry.**

e) **The merger will help in consolidation of managerial expertise of the Companies which will facilitate greater focus and utilization of**

resources. Amalgamation will give additional strength to the operations and management of the amalgamated company.

f) This Scheme of Arrangement is presented under Section 230 & 232 and other applicable provisions, if any, of the Companies Act, 2013 for amalgamation of the above mentioned companies to avoid un-necessary duplication of costs of administration, distribution, employee cost, research work etc.

3. The Directors of the Transferee Company and the Transferor Companies.

Sl. no	Name of the Company	Director of the Company
1	Purvottar Financial Services Private Limited / Transferee Company	Mani Kant Choudhary DIN: 02143587 Address: Govind Niwas, H/No- 2, No- 9/B, Nilamoni Phukan Path, Christian Basti, Guwahati-786125, Assam
2	Sadhana Traders Private Limited/ Transferor Company no. 1	Mani Kant Choudhary DIN: 02143587 Address: Govind Niwas, H/No- 2, No- 9/B, Nilamoni Phukan Path, Christian Basti, Guwahati-786125, Assam
3	Value Added Agency Private Limited/ Transferor Company no. 2	Sangeeta Agarwal DIN: 02615444 Address: Aashray, Saraswati Vihar, 2nd Floor, R. G Baruah Road, Behind NRL Petrol Pump, Sunderpur, Guwahati- 781005, Assam.
4	Varaa Fashions Private Limited/ Transferor Company no. 3	Sangeeta Agarwal DIN: 02615444 Address: Aashray, Saraswati Vihar, 2nd Floor, R. G Baruah Road, Behind NRL Petrol Pump, Sunderpur, Guwahati- 781005, Assam.

4. The respective auditors of the Applicant Transferor Companies and the Applicant Transferee Company have also confirmed that the accounting

treatment contained in the Scheme is in compliance with Accounting Standards prescribed under companies Act 2013 and other generally accepted accounting Principles. A copy of each of the said certificates is enclosed and collectively available from Page no. 247 to 250.

5. The necessary particulars about the Applicants Companies submitted by the Applicant are being reproduced herein below:

Sl. No. A	Transferee Company	**Purvottar Financial Services Private Limited**
A1.	Incorporation	21st day of July,1992
A2	CIN	U67120AS1992PTC012199
A3	Registered Office	3rd Floor, Shankar Complex, Opp. THE CUBE, Christian Basti, G.S Road, Guwahati-781005, Assam
A4.	Shares	The Authorized Share Capital is Rs. 36,500,000/- (Rupees Three Crore Sixty Five Lakhs only) divided into 3,650,000 equity shares of Rs. 10/- each. The current issued, subscribed and paid-up capital is Rs. 36,238,000/- (Rupees Three Crore Sixty Two Lakhs Thirty Eight Thousand only) divided into 3,623,800 equity shares of Rs. 10/- each.
A5.	Objects of Company (In Brief)	To undertake and transact and as consultants in the field of agency investment, financial, business, financiers and for that purpose to lend or invest money and negotiate loans in any form or manner, to draw, accept, endorse, discount, buy, sell and deal in bills of exchange, hundies, promissory notes and other negotiable instruments and securities and also to issue on commission, to subscribe for, underwrite, take acquire and hold, sell and exchange and deal in shares,

		stocks, bonds or debentures or securities of any Government or Public Authority or Company, gold and silver and bullion and to form, promote, subsidies and assist companies, syndicates and partnerships to promote and finance industrial enterprises and also to give any guarantees for payment of money or performance of any obligation or undertaking. To act as consultants and to advise and assist on all aspects of corporate, commercial and industrial management or activity including production, manufacturing, personnel advertising and public relations, public welfare, marketing, taxation, technology, insurance, purchasing, sales, quality control, computer applications, software, productivity planning, research and development, organization, import and export business, industrial relations and management and to make evaluations, feasibility studies, project reports, forecast and surveys and to give expert advice and suggest way and means for improving efficiency in mines, trades, plantation business organizations registered or co- operative societies, partnership or propriety concerns and industries of all kinds in India and elsewhere in the world and improvement of business management, office organization and expert management to supply and to provide, maintain and operate services, facilities, conveniences, bureau and the like benefit of any Company, to recruit and/or advice on the recruitment of staff for any Company.
Sl.no B	Transferor Company No. 1	**Sadhana Traders Private Limited**

B1	Incorporation	18th day of May, 2005
B2	CIN	U51909AS2005PTC007751
B3	Registered Office	Shankar Complex, 3rd Floor, Opposite THE CUBE, G.S Road, Christian Basti, Guwahati- 781005,Assam
B4	Shares	Authorized Share Capital is Rs. 16,700,000/- (Rupees One Crore Sixty Seven Lakhs only) divided into 1,670,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up capital is Rs. 16,130,000/- (Rupees One Crore Sixty One Lakhs Thirty Thousand only) divided into 1,613,000 equity shares of Rs. 10/- each.
B5	Objects of Company (In Brief)	To carry on the business of buyers, sellers, distributors, traders, exporters, importers, agents, merchants, stockiest, suppliers, commission agents, producers, dealers, and marketing of all types of domestic and international consumer goods, household goods and other general commodities
Sl. No. C	Transferor Company No. 2	**Value-Added Agency Private Limited**
C1	Incorporation	25th day of January, 2010
C2	CIN	U74900AS2010PTC012165
C3	Registered office	3rd Floor, Shankar Complex, Christian Basti, Guwahati- 781005, Assam
C4	Shares	Authorized Share Capital is Rs. 2,000,000/- (Rupees Twenty Lakhs only) divided into 200,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up capital is Rs. 1,950,000/- (Rupees Nineteen lakhs Fifty Thousand only) divided into

		195,000 equity shares of Rs. 10/- each.
C5	Objects of Company (in Brief)	To carry on in India or elsewhere the business to act as consultant, advisor, representative, liasioner, agent, serviceman, middleman, auctioneer, conciliator in all its branches such as commercial, marketing, industrial, production, engineering, personnel advertising, publicity, sales promotion, public welfare, corporate management, portfolio management, animal husbandry, poultry, fisheries, power generation, energy savings, insurance, banking, loan syndication, software developments, computer applications, quality control, technical knowhow and also to run, establish, maintain, provide, operate, manage, supervise, arrange and take on hire all necessary services, facilities, conveniences, equipment and to supply turnkey projects in all industries, utilities, commercial and welfare fields and also to carry on the business as an agent, broking, investments, BPO, water treatment, pollution carbon and HR consultancy, Payroll management investigation and Provident Fund, Pension Fund and all super annotation fund advisory.
Sl. No. D	Transferor Company No. 3	**Varaa Fashions Private Limited**
	Incorporation	20th day of February,2009
D1	CIN	U17291AS2009PTC012166
D2	Registered Office	3rd Floor, Shankar Complex, Christian Basti, Guwahati- 781005, Assam
D3	Shares	Authorized Share Capital of Rs. 2,000,000/- (Rupees Twenty Lakhs only) divided into 200,000 equity

D4		shares of Rs. 10/- each. The current issued, subscribed and paid-up capital id Rs. 1,900,000/- (Rupees Nineteen Lakhs only) divided into 190,000 equity shares of Rs. 10/- each.
D5	Objects of Company (in brief)	To carry on the business as buyers, sellers, traders, merchants, indentors, agents, commission agents, assemblers, refiners, cultivators, packers, stockists, distributors, advisors, broker and sub-broker, producer, exporters, importers, retail dealers, marketing mediators of and in all kinds of men's, women's, children's clothing and wearing apparel of all kind, nature and description including embroidery works of shirts, bush-shirts, pyjama, suits, vests, underwear's, suits, ladies dresses, brassieres, maternity belts, knee caps, coats, panties, nighties, socks, sweaters, laces, carpets, durries, mats, rugs, namdas, blankets, shawls, tweeds, linens and to organize, run, maintain, operate, promote the business of interior decorators, furniture and carpet designers and boutiques, operators of fashion centers, fashion shows, and to make, acquire, deal in any way in handicrafts, objects of art, precious metals or precious stone, jewellery, whether artificial or otherwise and articles wherein precious metals or precious stones may be used in textile fabrics and to manufacture and deal in any products as are dealt in by embroidery, boutiques, fashion shows and interior decorators and all other kinds of goods and merchandise, commodities and articles of consumption of all kinds in India and abroad.

6. (a) As on 12th March, 2020, the Transferor Company No. 1 i.e. Sadhana Traders Private Limited is having **4 (Four) Equity** Shareholders. A list of the Equity Shareholders of the Transferor Company No. 1 as certified by the Chartered Accountants are annexed hereto and is available at **Page no. 251**. Again, it is certified by the Chartered Accountants that there is **NIL Creditor** as on 12th March, 2020. A copy of the certificate by the Chartered Accountants is annexed hereto and is available at **Page no. 300**.

6. (b) As on 12th March, 2020, the Transferor Company No. 2 i.e. Value-Added Agency Private Limited is having **4 (Four) Equity** Shareholders. A list of the Equity Shareholders of the Transferor Company No. 2 as certified by the Chartered Accountants are annexed hereto and is available at **Page no. 252**. Again, it is certified by the Chartered Accountants that there is **NIL Creditor** as on 12th March, 2020. A copy of the certificate by the Chartered Accountants is annexed hereto and is available at **Page no. 301**.

6. (c) As on 12th March, 2020, the Transferor Company No. 3 i.e. Varaa Fashions Private Limited is having **4 (Four) Equity** Shareholders. A list of the Equity Shareholders of the Transferor Company No. 3 as certified by the Chartered Accountants are annexed hereto and is available at **Page no. 253**. Again, it is certified by the Chartered Accountants that there is **NIL Creditor** as on 12th March, 2020. A copy of the certificate by the Chartered Accountants is annexed hereto and is available at **Page no. 302**.

6. (d) As on 12th March, 2020, the Transferee Company is having **7 (Seven) Equity** Shareholders. A list of the Equity Shareholders of the Transferee Company as certified by the Chartered Accountants are annexed hereto and is available at **Page no. 254**. Again, it is certified by the Chartered Accountants that there is **1 (One) Creditor** amounting to Rs. 25,378,958 as on 12th March, 2020. A copy of the certificate by the Chartered Accountants is annexed hereto and is available at **Page no. 294.**

7. All the equity shareholders of the Applicant Transferor Companies have, by affidavits given their consents to the said Scheme of Arrangement. The respective Affidavits, in original are annexed hereto and collectively available from **Page no. 255 to 278.**

8. All the equity shareholders of the Applicant Transferee Company have, by affidavits given their consent to the said Scheme of Arrangement. The respective affidavits, in original are annexed hereto and is available from **Page no. 279 to 292**. Again the Transferee Company has one Creditor and the Creditor has also consented to the proposed Scheme vide an affidavit seeking dispensation of the holding of the meeting of Creditors which is available at **Page no. 298 to 299.**

9. It is submitted that as per the request of the management of the Purvottar Financial Services Private limited i.e. the Transferee Company, Mr. Manish Agarwalla, IB-BI Registered Valuer of Financial Assets bearing **IBBI Regn. No IBBI/RV//01/2019/11424** and **UDIN: 20068553AAAABA9974** has carried out fair valuation of equity shares of the Applicant Transferor Companies to recommend fair share exchange ratio for the proposed amalgamation of the transferor companies with the transferee Company. The Valuation Report of the Transferor Companies and the Transferee Company is annexed hereto and is available at **Page no. 224 to 246.**

10. It is also submitted that the Accounting Transaction stated in the Scheme will be in accordance with the Concerned Accounting Standards issued by the Central Government under Section 133 of the Companies Act, 2013 and other normally accepted Accounting Principles. The certificate provided by the respective Chartered Accountants certifying the same is annexed and is available from Page no. 247 to 250.

11. The Sectoral/Statutory/ regulatory authority involved in this Scheme are i) Regional Director, North Eastern Region; ii) Registrar of Companies, Guwahati; iii) Official Liquidator, Guwahati; iv) Concerned Income Tax authorities; N.E Region v) The Reserve Bank of India.

12. **In view of the aforesaid, it is submitted that this Hon'ble Tribunal be pleased to dispense with convening of meeting of equity shareholders of the Transferor Companies and convening of meeting of equity shareholders and one Creditor of the Transferee Company to consider the said Scheme.**

13. The Applicant companies have prayed for the following reliefs:

a) To allow the merger of the Petitioner Companies i.e. Sadhana Traders Private Limited, Value- Added Agency Private Limited and Varaa Fashions Private Limited with Purvottar Financial Services Private Limited with effect from 01/04/2019

b) Such further order be made and/or directions be given as this Hon'ble National Company Law Tribunal may deem fit and proper.

14. It is stated that the Applicant Transferor Company no. 1 is having 4 (Four) equity shareholders and NIL Creditor as on 12th March, 2020. All of them have, by affidavits given their consent to the said Scheme of Amalgamation which is annexed and available at **Page no. 255 to 262**. Hence, its meeting needs to be dispensed with.

15. It is stated that the Applicant Transferor Company no. 2 is having 4 (Four) equity shareholders and NIL Creditor as on 12th March, 2020. All of them have, by affidavits given their consent to the said Scheme of Amalgamation which is annexed and available at **Page no. 263 to 270**. Hence, its meeting needs to be dispensed with.

16. It is stated that the Applicant Transferor Company no. 3 is having 4 (Four) equity shareholders and NIL Creditor as on 12th March, 2020. All of them have, by affidavits given their consent to the said Scheme of Amalgamation which is annexed and available at **Page no. 271 to 278**. Hence, its meeting needs to be dispensed with.

17. **So, far as the Transferee Company is concerned there are 7 (Seven) equity shareholders and 1 (One) Creditor. All the shareholders have given their consents by way of affidavits for approval of the proposed Scheme of Amalgamation which is annexed and available from Page no. 279 to 292. Again, the lone creditor has also given its consent by way of affidavits for approval of the proposed Scheme of Amalgamation which is annexed and available at Page no. 298 and 299. Hence, its meeting needs to be dispensed with.**

18. The Applicant Companies have submitted the Audited Balance Sheet, Auditor's Report and Director's Report of the Transferee Company i.e. Purvottar Financial Services Private Limited as at March 31, 2019 as Annexure 'B'. The Auditor Report has been submitted by Ritesh Choudhury & Associates, CA wherein it is stated:

Report on other Legal and Regulatory Requirements:

1. **As required by the Companies (Auditor's Report) Order 2016 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Companies Act, 2013, is not applicable to the company the matters specified in paragraphs 3 and 4 of the Order, has not been incorporated in the audit report.**

2. **As required by Section 143 (3) of the Act, we report that:**

   a) **We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.**

   b) **In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.**

   c) **The Balance Sheet, the statement of Profit and Loss dealt with by this Report are in agreement with the books of account.**

   d) **In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule7 of the Companies (Accounts) Rules, 2014.**

   e) **On the basis of the written representations received from the directors as on 31st March, 2019, taken on record by the Board of Directors, none of the Directors is disqualified as on 31st March, 2019 from being appointed as a director in terms of Section 164 (2) of the Act.**

f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, reporting on the given clause is attached herewith in Annexure- B.

g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i. The Company does not have any pending litigations which would impact its financial position.
ii. The Company did not have any long-term contracts including derivative contracts; as such the question of commenting on any material foreseeable losses thereon does not arise
iii. There has not been an occasion in case of the Company during the year under report to transfer any sums to the Investor Education and Protection Fund. The question of delay in transferring such sums does not arise.

19. The Applicant Companies have submitted the Audited Balance Sheet, Auditor's Report and Director's Report of the Transferor Company No. 1 i.e. Sadhana Traders Private Limited as at March 31, 2019 as Annexure 'D'. The Auditor Report has been submitted by SKPT & Co., CA wherein it is stated:

Report on other Legal and Regulatory Requirements:

1) As required by the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in the Annexure a statement on the matters Specified in paragraphs 3 and 4 of the Order to the extent applicable

2) As required by Section 143(3) of the Act, we report that:

a. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.

b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

c. The Balance Sheet and the Statement of Profit and Loss and the Cash Flow Statement dealt with by this report are in agreement with the books of account.

d. In our opinion the aforesaid financial statements comply with the Applicable Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules 2014

e. On the basis of the written representations received from the directors as on March 31, 2019 taken on record by the Board of Directors, one of the director, Mr. Sanjay Agarwal is disqualified as on March, 31, 2019 from being appointed as a director in terms of Section 164(2) of the Act, however he has vacated the office w.e.f. 01.05.2019.

f. This audit report does not include a separate report with respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, since in our opinion and according to information and explanations given to us, the said report is not applicable to the Company.

g. With respect to other matters to be included in the Auditor's report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

(i) The Company does not have any pending litigations which would impact its financial position.

(ii) The Company did not have any long term contracts including derivative contracts; as such the question of commenting on any material foreseeable losses thereon does not arise

(iii) There has not been an occasion in case of the Company during the year under report to transfer any sums to the Investor Education and Protection Fund. The question of delay in transferring such sums does not arise.

20. The Applicant Companies have submitted the Audited Balance Sheet, Auditor's Report and Director's Report of the Transferor Company No. 2 i.e. Value-Added Agency Private Limited as at March 31, 2019 as Annexure 'F'. The Auditor Report has been submitted by Ritesh Choudhary & Associates, CA wherein it is stated:

Report on other Legal and Regulatory Requirements:

1) **The audit report does not include a statement on the matters Specified in paragraphs 3 and 4 of the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, as the same is not applicable to the Company as per the Information and Explanations given to us.**

2) **As required by Section 143(3) of the Act, we report that:**

a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

b. In our opinion proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

c. The balance sheet and the Statement of Profit and Loss Dealt with by this Report are in agreement with the books of account.

d. In our opinion, the aforesaid standalone financial statement comply with the AS specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

e. On the basis of the written representations received from the directors as on 31st March, 2019 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2019 from being appointed as a director in terms of Section 164(2) of the Act.

f. With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, reporting on the given clause is not applicable to this Company.

g. With respect to other matters to be included in the Auditor's report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

i) The Company does not have any pending litigations which would impact its financial position.

ii) The Company did not have any long term contracts including derivative contracts; as such the question of commenting on any material foreseeable losses thereon does not arise

iii) There has not been an occasion in case of the Company during the year under report to transfer any sums to the Investor Education and Protection Fund. The question of delay in transferring such sums does not arise.

21. The Applicant Companies have submitted the Audited Balance Sheet, Auditor's Report and Director's Report of the Transferor Company No. 3 i.e. Varaa fashions Private Limited as at March 31, 2019 as Annexure 'H'. The Auditor Report has been submitted by Ritesh Choudhary & Associates, CA wherein it is stated:

<u>Report on other Legal and Regulatory Requirements:</u>

1) The audit report does not include a statement on the matters Specified in paragraphs 3 and 4 of the Companies (Auditor's Report) Order, 2016 ("the Order") issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, as the same is not applicable to the Company as per the Information and Explanations given to us

2) As required by Section 143(3) of the Act, we report that:

a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

b. In our opinion proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

c. The balance sheet and the Statement of Profit and Loss Dealt with by this Report are in agreement with the books of account.

d. In our opinion, the aforesaid standalone financial statement comply with the AS specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

e. On the basis of the written representations received from the directors as on 31st March, 2019 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2019 from being appointed as a director in terms of Section 164(2) of the Act.

f. With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, reporting on the given clause is not applicable to this Company.

g. With respect to other matters to be included in the Auditor's report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

(i) The Company does not have any pending litigations which would impact its financial position.

(ii) The Company did not have any long term contracts including derivative contracts; as such the question of commenting on any material foreseeable losses thereon does not arise.

(iii) There has not been an occasion in case of the Company during the year under report to transfer any sums to the Investor Education and Protection Fund. The question of delay in transferring such sums does not arise.

22. Having heard the learned counsel for the Applicant Companies and by perusal of the records, we feel that the prayer as being sought for by the

Applicant companies appear to be reasonable and bona fide. The present company Applications deserve to be allowed. Accordingly, it is allowed in terms of its prayer clause with following directions: -

i. **Meetings of the equity Shareholders of Sadhana Traders Private Limited and Value-Added Agency Private Limited and Varaa Fashions Private Limited, the applicant Transferor Companies and Meetings of the equity Shareholders of Purvottar Financial Services Private Limited i.e. the Applicant Transferee Company are hereby dispensed with, in the light of the consent letters on affidavit, placed on record annexed at Page no. 255 to 292.**

ii. **There is NIL Creditor in the Applicant Transferor Companies as per the certificates of the auditors of the Company annexed and placed on record annexed at Page no. 300 to 302. Hence its meeting is dispensed with.**

iii. There is one Creditor in the Applicant Transferee Company as per the certificates of the auditors of the Company annexed and placed on record at **Page no. 293 and 294**. However, the Creditor has consented to the Scheme of Amalgamation vide affidavit which is at **Page no. 298 and 299.** Hence, its meeting is dispensed with.

iv. **The Appointed date is 01/04/2019 as resolved in the Board Meeting of the Applicant Companies.**

v. The Transferee Company is a NBFC, and its Regulator is RBI. Hence, the Transferee Company is directed to obtain NOC/ Clearance from The RBI for this Scheme of Arrangement and submit the Copy of the same before the Registry for record.

vi. The Hon'ble Supreme Court in its recent judgment has held that a person who is ineligible under Section 29A of the Insolvency and Bankruptcy Code (IBC) to submit a Resolution Plan is barred from proposing a Scheme of Compromise and Arrangement under Section 230 of the Companies Act, 2013. Hence, the Applicant Companies are hereby directed to file affidavits that they are not ineligible under Section 29A of the IBC to submit a Resolution Plan. The affidavits are to be filed by 31/03/2021.

vii. In compliance of sub-section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, the Applicant Companies shall send a copy of the Scheme of Arrangement, the Explanatory Statement and the disclosures mentioned under Rule 6 (to the extent applicable) to:

(a) The Central Government through the Regional Director, North Eastern Region,
(b) the Registrar of Companies, Guwahati
(c) the Income Tax Authorities of the concerned areas;
(d) the Official Liquidator, North eastern Region
(e) The Reserve Bank of India, as the Transferee Company is registered as NBFC.

stating that representations, if any, to be made by them shall be made within a period of 30 (Thirty) days from the date of receipt of such notice, failing which it will be deemed that they have no objections to make on the proposed Scheme of Arrangement. The said notices shall be sent to the above Statutory authorities forthwith, either by Registered Post or by Speed Post or by Courier or by Hand Delivery at the office of the authorities as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities who desire to make any representation under sub-section (5) of Section 230 shall send the same to this Tribunal with a copy of the same to be sent to the Applicant Companies within a period of 30 (Thirty) days from the date of such service.

23. With the aforesaid directions/observations, **CA (CAA) No. 02/230-232/GB/2021** is allowed and stands disposed of accordingly.

Sd/-

(Prasanta Kumar Mohanty)
Member (Technical)

Sd/-

(H.V Subba Rao)
Member (Judicial)

Dated this the 23rd March, 2021

TD/Deka//